

06 Oct 2026 02:02:36 ET | 12 pages

Han's CNC Technology (3200.HK)

Positive Implication from Accelerating Sep 2026 Revenue Growth at Ta Liang

CITI'S TAKE

As the market appears to be worried about AI PCB capacity expansion slowdown, Han's CNC's (HC) PCB equipment peer Ta Liang Technology (3167.TW) again delivered strong operating data with monthly revenue growth accelerating from 153% YoY in Aug 2026 to 172% YoY in Sep 2026, showing that PCB makers' "**capacity expansion spree**" continues without any signs of a slowdown. Although HC's and Ta Liang's customer bases are different - HC has more Chinese PCB makers as key customers while Ta Liang focuses more on Taiwanese PCB manufacturers, we expect HC to deliver a similar revenue growth trend in 3Q26. Based on our supply chain talks, Chinese PCB makers, as late comers, are even more aggressive than Taiwanese companies in penetrating into the AI supply chain. Reiterate our Buy rating on **HC-H (3200.HK)** which appears attractive trading at ~21x 2026E P/E, vs. HC-A's (301200.SZ) ~57x 2026E P/E.

Recent notes - [China Automation and Machinery - What's New from China Industrial | SMID | Transport Conf 2026: Additional Color](#) | [Han's CNC \(3200.HK / 301200.SZ\): What's New from China Industrial | SMID | Transport Conf 2026: Ultrafast Laser and Beyond](#)

Buy

Price (05 Oct 26 16:10)	HK\$98.40
Target price	HK\$189.00
Expected share price return	92.1%
Expected dividend yield	1.5%
Expected total return	93.5%
Market Cap	HK\$128,655M US\$16,395M

Jamie Wang^{AC}

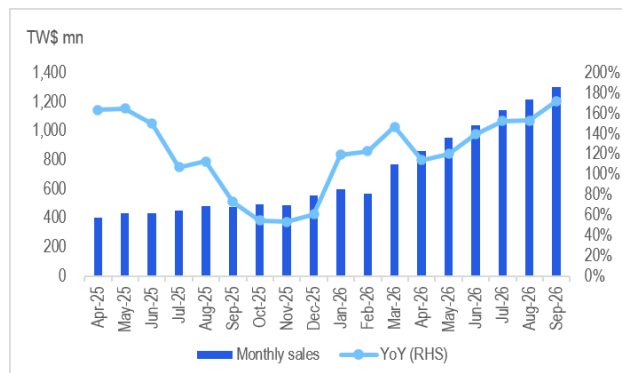
+852-2501-2772
jamie.ck.wang@citi.com

Eric Lau

+852-2501-2726
eric.h.lau@citi.com

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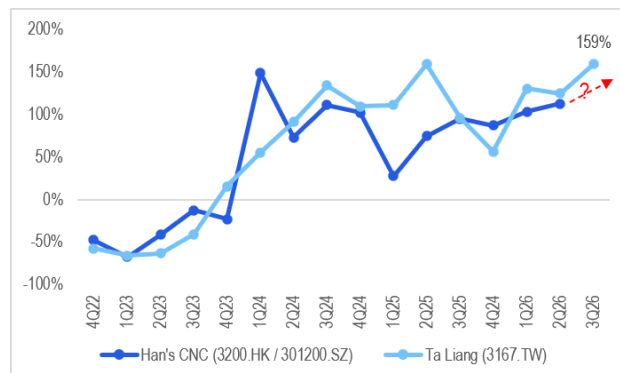
Figure 1. Ta Liang (3167.TW): Monthly revenue and YoY growth



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Source: Citi Research, Company Reports

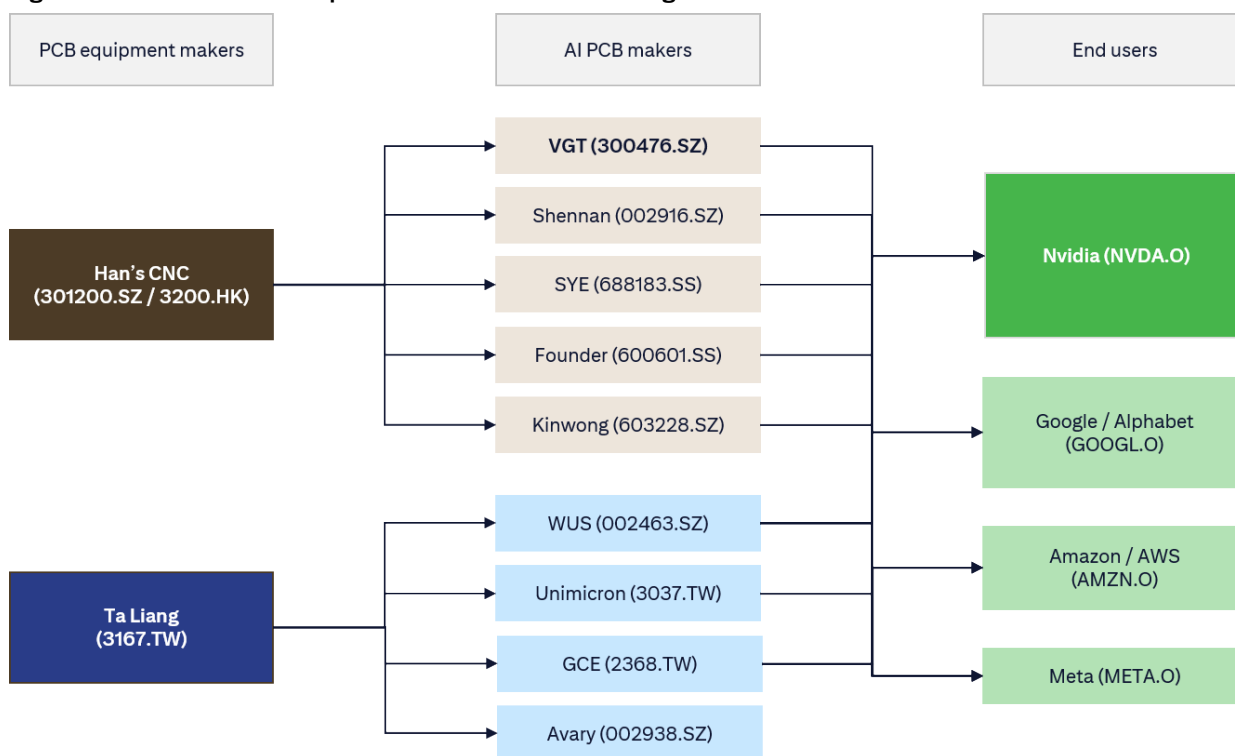
Figure 2. Revenue YoY comparison: Han's CNC vs. Ta Liang



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Source: Citi Research, Company Reports

Figure 3. Main customer comparison: Han's CNC vs. Ta Liang



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Source: Citi Research, Company Reports

Bull/Bear: Han's CNC Technology

HK\$ **250.00**
▲154% Upside

HK\$ **189.00**
▲92% Upside

HK\$ **74.00**
▼25% Downside



Spread 179pp
Current Price and expected returns (upside/downside) as of 05 Oct 2026



BULL Assumptions

- Rerate to ~34x 2027E P/E due to stronger AI PCB equipment demand



BASE Assumptions

- Base case TP is at ~26x 2027E P/E



BEAR Assumptions

- Derate to ~10x 2027E P/E due to weaker AI PCB equipment demand

Han's CNC Technology

Valuation

Our target price for Han's CNC H-shares of HK\$189 is based on ~26x 2027E P/E, set at 50% discount to its A-share's valuation as we consider the technology gap between Han's CNC and its global peers. We believe that our target multiple is not aggressive given a >90% earnings CAGR for 2026E-27E.

Risks

Potential downside risks that could impede the H-shares from reaching our target price include: 1) weaker-than-expected AI PCB equipment demand, 2) worse-than-expected GPM due to rising component costs, and 3) intensifying price competition due to the industry's equipment supply increase.

Han's CNC Technology

(301200.SZ; Rmb224.79; 2; 30 Sep 26; 15:00)

Valuation

Our target price for Han's CNC A-shares of Rmb322 is based on ~51x 2027E P/E, similar to its long-term average P/E. Our target multiple is conservative, in our view, considering 2027E earnings growth could be lower than that in 2026E.

Risks

Han's CNC stock is rated High Risk based on our quantitative risk-rating screen, but we think a High Risk flag is not justified given the company's high earnings visibility due to strong equipment demand from AI PCB makers. Potential downside risks include: 1) weaker-than-expected AI PCB equipment demand; 2) worse-than-expected GPM due to rising component costs; and 3) intensifying price competition due to the industry's equipment supply increase. Potential upside risks include: 1) stronger-than-expected AI PCB equipment demand; 2) better-than-expected GPM due to favorable product mix change; and 3) strong AI equipment demand leads to supply shortage for general PCB equipment. Any of these risk factors could cause the A-shares to deviate from our target price.

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Appendix A-1

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Han's CNC Technology (301200.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	07-Sep-25 23:58:26	*1H	*108.00	85.55
2	16-Oct-25 04:50:23	1H	*124.00	91.80
3	20-Oct-25 12:42:56	1H	*140.00	96.06

	Date	Rating	Target Price	Closing Price
4	09-Feb-26 03:30:27	*2	*160.00	149.62
5	10-Apr-26 12:18:38	2	*186.00	181.82
6	10-Jun-26 04:05:18	2	*290.00	270.81

	Date	Rating	Target Price	Closing Price
7	24-Jun-26 11:21:29	2	*377.00	357.46
8	23-Aug-26 09:32:31	2	*322.00	282.01

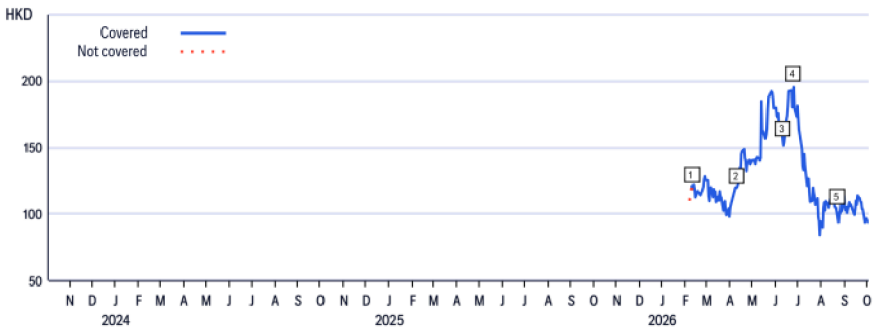
*Indicates Change

Rating/target price changes above reflect Eastern Time

Han's CNC Technology (3200.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	09-Feb-26 03:30:27	*1	*142.00	120.80
2	10-Apr-26 12:18:38	1	*160.00	119.80

	Date	Rating	Target Price	Closing Price
3	10-Jun-26 04:05:18	1	*252.00	155.80
4	24-Jun-26 11:21:29	1	*325.00	184.30

	Date	Rating	Target Price	Closing Price
5	23-Aug-26 09:32:31	1	*189.00	104.50

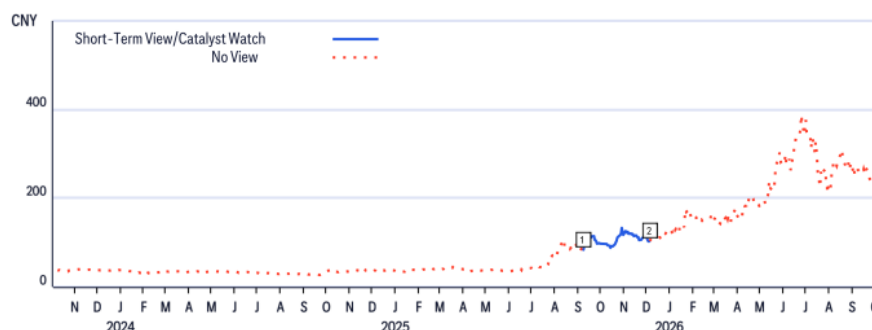
*Indicates Change

Rating/target price changes above reflect Eastern Time

Han's CNC Technology (301200.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Sep-25 01:50:22	Add STV	Upside	90 Days	83.80
2	07-Dec-25 21:06:55	Remove STV	Upside	90 Days	103.58

CW - Catalyst Watch, STV - Short-Term View

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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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